

Section 1: Introduction and definitions

This is a demonstration motor policy wording. It describes a fictional comprehensive vehicle cover so that the document assistant can be shown answering questions with page citations. The insured is the person named in the policy schedule. The insurer is the company that issues the policy. A claim is a request for payment or repair after an insured event. The excess is the amount the insured pays towards each claim.

Section 2: What is covered

The policy covers accidental damage to the insured vehicle, theft and attempted theft, fire, and damage caused by storm or flood. The policy also covers the cost of towing the insured vehicle to the nearest approved repairer after an insured event. Cover applies within the borders of the country stated in the policy schedule.

Section 3: Notifying a claim

The insured must notify the insurer of any event likely to give rise to a claim within 30 days of the event. Theft, hijacking and malicious damage must also be reported to the police within 48 hours, and the police case number must be given to the insurer. Late notification may reduce or void the claim. The insured must not admit liability or agree to pay any third party without the insurer's written permission.

Section 4: Exclusions

The insurer will not pay for loss or damage caused while the driver is under the influence of alcohol or drugs. The insurer will not pay when the driver does not hold a valid licence for the vehicle. Racing, rallying and speed testing are excluded. Wear and tear, mechanical breakdown and tyre damage that is not caused by an insured event are excluded. Loss or damage outside the territorial limits in the policy schedule is excluded.

Section 5: Excess and repairs

The insured pays the excess shown in the policy schedule for each claim. Repairs must be carried out by an approved repairer and must be authorised by the insurer before work starts. The insurer may choose to repair, replace or pay the market value of the insured vehicle.